

Meta Platforms, Inc.

META NASDAQ

Buy \$647.27 ▲ 0.22% 12M Price Target \$750.00 52-Week Range \$520.26 – \$796.25

Market Cap \$1.64T

META: Bulls Circling Ahead of July 29 Earnings Catalyst

WHAT HAPPENED

- Stock is basically flat today (\$647, +0.22%) but it's been a rough week — down ~5% from Tuesday's \$681. The tech sector is up 1.76% today, so META is LAGGING its group, which tells me the weakness is Meta-specific, not macro. Likely investors trimming into the July 29 earnings print.
- Two narratives colliding in the news: (1) Motley Fool teasing a Zuckerberg announcement on July 29 that could "send the stock soaring," and (2) a reminder that Reality Labs (the VR/AR division) lost \$19.2B last year. That tension IS the Meta trade right now.

WHY IT MATTERS

Here's what I think is happening: the market is de-risking ahead of earnings next week, and the OpenAI ad-revenue miss story (they're on pace to miss their ad forecast by 90%) is actually BULLISH for Meta longer-term — it means the AI-native ad disruption threat is way overhyped, and Meta's ad moat is intact. The July 29 print is the whole ballgame — if Zuck announces something concrete on Meta AI monetization or Llama enterprise licensing, this stock re-rates higher fast. The COO selling ~\$1M in shares is nothing to worry about (routine 10b5-1 plan), but the options market is screaming bullish with a 0.43 put/call ratio — meaning traders are buying 2.3 calls for every put, which is a real conviction bet on upside into the print.

POLICY & POLITICAL WATCH

The big overhang is the EU Digital Markets Act enforcement and the ongoing FTC antitrust case trying to force Meta to divest Instagram and WhatsApp — that trial is grinding through appeals and remains the single biggest long-term risk. On the friendlier side, the Trump administration has been notably softer on Big Tech antitrust than Biden's FTC, and the pending federal AI framework legislation would actually HELP Meta by preempting the patchwork of state AI laws (like California's SB-1047 successor) that are more onerous. Also watch the Section 230 reform chatter in Congress — any serious move to strip liability protection for algorithmic content would directly hit Meta's business model.

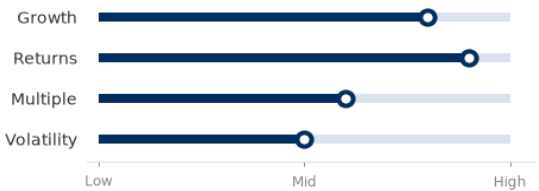
IS IT EXPENSIVE?

At ~23x forward earnings — meaning you're paying \$23 for every \$1 of profit Meta will make next year — this is actually CHEAP for a company growing revenue mid-teens with 35%+ operating margins. Compare that to Microsoft at ~32x and Google at ~22x — Meta is trading like Google but growing faster and buying back more stock. The reason it's not more expensive? The \$19B/year Reality Labs black hole and the perception that Zuck could pivot spending priorities on a whim.

Key Data

Price (USD)	\$647.27
12M Price Target	\$750.00
Upside / (Downside)	+15.9%
Market Cap	\$1.64T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	23.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$720.00	\$670.00	\$610.00
6 Months	\$800.00	\$720.00	\$580.00
1 Year	\$850.00	\$750.00	\$550.00
2 Years	\$1000.00	\$820.00	\$500.00
5 Years	\$1400.00	\$1000.00	\$450.00
10 Years	\$2200.00	\$1500.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech broadly (+1.76% today) as OpenAI's ad-revenue miss reassures investors that incumbents (Google, Meta) aren't losing share to AI natives as fast as feared. Energy also running on oil price strength.

COOLING OFF: Tech is actually down 2.63% over 5 days — there's been a rotation OUT of mega-cap tech into more defensive names as earnings season creates uncertainty.

ROTATION WATCH: Money is being cautious pre-earnings — waiting to see if the Mag 7 can justify their multiples. Meta reports July 29, and that print will set the tone for the whole group.

RELATED PLAY: If Meta's AI ad-targeting story hits, the second-order winner is Applovin (APP) and The Trade Desk (TTD) — the ad-tech ecosystem gets validated. On the infrastructure side, if capex guidance goes up again, Nvidia and the data center REITs (like Equinix) keep eating.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Holding up better than Meta this week — market sees search as more insulated from AI disruption after recent Gemini traction.
- NVDA (Nvidia): Still the picks-and-shovels winner every time a hyperscaler raises capex — and Meta's capex is going up.

META CONTEXT: Meta is lagging its mega-cap peers this week, trading at 46% of its 52-week range while others are closer to highs. That's actually a SETUP — the stock is coiled going into the most important catalyst of the quarter. Underperformance into a binary event often reverses hard if the print is clean.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the risk/reward into the July 29 print, but I'm not pounding the table because Zuck's capex discipline (or lack thereof) is a real wildcard.

POSITION SIZE: 4-6% of portfolio — this is a core mega-cap holding, not a speculative bet, so size it accordingly.

ENTRY POINTS: Current \$647 is a reasonable entry given the pre-earnings pullback. If it dips to \$620 before July 29, back the truck up.

TIME HORIZON: 12-24 months. Near-term catalyst is July 29 earnings; medium-term is AI ad-monetization proof points showing up in revenue.

WHEN TO BAIL: If ad revenue growth drops below 10% YoY, or if Reality Labs losses accelerate past \$25B annually without any product traction, the thesis breaks.

HEDGING: If you're nervous into earnings, buy an August put option roughly 10% below current price — costs you maybe 2% but caps your downside if Zuck drops a capex bomb. Or just size the position smaller and sleep at night.